

MERTON DAILY BRIEF - Friday, May 22, 2026

1. Headline of the Day

*Kevin Warsh sworn in as Fed Chair today - **White House ceremony marks the end of the Powell era. Warsh enters amid explosive conditions: inflation projected at 6% in Q2, oil at \$96 after the Iran shock, and markets oscillating between peace hopes and escalation fears. The S&P 500 notches its 8th consecutive weekly gain*** despite everything - a market that refuses to go down. Gold corrects heavily (-0.7% to \$4,520) despite the war, as rising real yields kill the yellow metal.

2. Global Sentiment

****VIX** ? 16.79 (-5.78%) | ? Low - complacency**

****DXY** ? 99.31 (+0.34%) | ? Neutral**

****Gold** ? 4,520.7 (-0.70%) | Correcting**

****US 10Y** ? 4.548% (-1.62%) | ? Yields falling**

****US 30Y** ? 5.073% (-1.44%) | ? Elevated**

****S&P 500** ? 7,445.72 (-0.74%) | ? Slight dip**

****NASDAQ** ? 26,293 (-1.28%) | Tech pressure**

****WTI** ? 96.60 (-11.1%) | Massive correction**

****Brent** ? 103.49 (-7.68%) | Corrected**

****BTC** ? 77,377 (+0.55%) | ? Resilient**

****Copper** ? 6.363 (+1.45%) | ? Risk appetite**

****Silver** ? 76.025 (-1.36%) | Follows gold**

Reading: The market is in a fascinating paradox. The Iran war rages, oil exploded to \$96, inflation threatens 6% - yet US stocks notched 8 weeks of gains, VIX is at 16.79, and gold corrects despite geopolitics. The market is pricing an Iran resolution (Polymarket gives 91%+ odds the ceasefire holds today). Long yields falling = bond market anticipates slowdown, not inflation acceleration. Copper up = China stimulating. BTC at 77K = risk appetite intact.

3. Macro - What Moved

****US****

Kevin Warsh sworn in as Fed Chair today - White House ceremony. Replaces Powell who remains a governor. Warsh is Trump's candidate, rate-cut friendly. His arrival marks a turning point in Fed independence.

Stephen Miran resigns from the Fed and throws support behind Warsh. Miran was the interim pro-Trump governor.

Inflation projected at 6% in Q2 per top forecasters. CPI already hot in April. The oil effect (\$96 WTI) will propagate into consumer prices in May-June.

Powell holds final press conference next Wednesday. He stated he wants to "clear his name once and for all."

S&P 500: 8th consecutive weekly gain - best run since 2023. The market climbs despite war, inflation, and political Fed pressure.

Mega-IPOs incoming: SpaceX, OpenAI, and Anthropic preparing record floats. BofA's Hartnett warns of a "Roaring 20s" bubble risk.

G7 ministers meeting warning of Strait of Hormuz closure consequences.

Nvidia posts strong quarter - AI momentum continues.

****EU****

ECB: rate hike likely in June to signal focus on 2% inflation target, per Demarco.
Gilt relief rally - UK yields post biggest weekly drop since 2024.
Ryanair CEO O'Leary: "Expect airline bankruptcies in Europe" - jet fuel at unsustainable levels.
EU reviewing Italy's call to ease fiscal rules as costs rise from the Iran war.
Chinese cars conquering Europe - made in China vehicles flooding the European market.

****China****

China cracks down on illegal cross-border securities trading - capital controls tightened.
China-Russia energy deal in preparation - expert says "China holds all the cards."
Copper up (+1.45%) - Chinese stimulus and AI/electrification demand supporting industrial metals.
China's fuel exports remain low - restrictions persist, contributing to global refined product tension.

****UK****

UK economy turns sour just as Starmer had reason to brag.
UK faces recession risk as Iran war threatens growth and inflation.
UK fuel crunch forces Starmer into difficult policy choices.
77,000 voters set to decide next UK Prime Minister.

EM

Turkey: assets bounce back after court blow to opposition. USD/TRY at 45.74 (+0.54%).
India: RBI dividend trails estimates - clouds deficit goal. Rupee plunges, India returns to 2013

taper tantrum playbook.

Mexico: economy contracted less than expected in Q1. Mid-May inflation slowed after Banxico ended easing cycle.

Canada: retail sales +0.6% in April - gasoline lifts receipts.

4. Geopolitics**Hot**

Iran-US war ongoing - US naval blockade in place. Peace talks progressing slowly, deadlocked on enriched uranium and Strait of Hormuz tolls.

Strait of Hormuz closed - legal disputes ripping through oil shipping. G7 in emergency meeting.

US gas prices at highest in nearly 4 years ahead of Memorial Day. Gasoline becoming a domestic political issue for Trump.

Russia-Iran: Putin signals support for Iran in standoff with the US. The Russia-Iran nexus reshaping global conflict.

To Watch

Trump-Xi meeting - Polymarket tracking if Trump mentions "Iran", "Nuclear", "Strait" or "Hormuz" during events with Xi.

UAE and Saudis join Qatar in urging Trump not to restart Iran war.

Ukraine: allies increasingly confident Russian invasion is losing steam.

Mega-IPOs SpaceX/OpenAI/Anthropic - BofA warns of bubble risk.

Positive

Iran ceasefire holding - Polymarket gives 98.55% odds.

S&P 500: 8 weeks of gains - best run since 2023.

Mexico: inflation slowing.

5. FX Focus

`EUR/USD` ? 1.1606 (-0.07%) | ? Neutral

`GBP/USD` ? 1.3430 (+0.92%) | ? Surprisingly strong

`USD/JPY` ? 159.10 (+0.16%) | ? Yen weak

`USD/CHF` ? 0.7859 (-0.18%) | ? Stable

Analysis: DXY at 99.31 is relatively stable despite geopolitical chaos. GBP surprisingly strong (+0.92%) despite deteriorating UK economy - likely a technical bounce. EUR nearly flat vs USD, ECB signaling a June hike supports the single currency. JPY remains weak (159.10) - BoJ in wait-and-see mode while new Fed Chair Warsh could accelerate rate cuts. CHF stable, no massive safe haven flows despite the war.

****Pair to watch:** `USD/JPY` - at 159.10, approaching BoJ intervention levels. If Warsh announces a**

6. Commodities

****Oil:** WTI \$96.60 (-11.1%) | Brent \$103.49 (-7.68%)**

Oil corrects massively after this week's bull shock. WTI hit a 52-week high of \$119.48 before retreating. Main driver: US-Iran peace prospects pricing a return to Hormuz normality. IEA warns oil stocks could enter the "red zone" by July. WTI-Brent spread widened to ~\$7.

****Gold:** \$4,520.7 (-0.70%)**

Gold corrects despite the Iran war. Rising US real yields (10Y at 4.55%) make the opportunity cost of holding gold very expensive. Key support at \$4,400 - below that, acceleration toward \$4,200. The 52w high at \$5,586 seems far away.

****Silver/Copper:** Silver \$76.025 (-1.36%) | Copper \$6.363 (+1.45%)**

Interesting divergence: silver follows gold lower, but copper rises. Copper benefits from Chinese stimulus and AI/electrification demand.

7. Today's Calendar

Friday, May 22, 2026 - Quiet day for macro data

Kevin Warsh sworn in as Fed Chair (White House ceremony)

G7 ministers meeting on Strait of Hormuz

Last trading day before US long weekend (Memorial Day Monday)

This Week Ahead:

Mon 26 - Memorial Day (US markets closed)

Tue 27 - US Durable Goods, Consumer Confidence

Wed 28 - Fed Minutes (last Powell meeting), US GDP revised

Thu 29 - US PCE (Fed's favorite inflation gauge), Jobless Claims

Fri 30 - US PCE final, Chicago PMI, UoM Sentiment

8. Deep Macro Theme of the Day

The Fed Under Tutelage: The End of US Monetary Independence?

Kevin Warsh's inauguration as Fed Chair today is not a mere personnel change. It is an institutional earthquake. Warsh is openly Trump's candidate - chosen precisely because he favors the rate cuts Powell refused to deliver.

The fundamental problem: inflation is heading back up (projected 6% in Q2), oil is at \$96 after the Iran shock, and the new Fed Chair will be under pressure to cut rates. This is the bond market's nightmare scenario. Jeffrey Gundlach put it clearly: "the bond market is starting to price in inflation that lasts."

The paradox is that stocks keep climbing anyway - 8 weeks of gains. Why? Because the market is pricing that the Iran war will resolve (Polymarket 91%+ for ceasefire), rate cuts are coming, and AI continues to carry everything. But if inflation doesn't come back under control, the stock market is in a complacency bubble.

The real risk isn't the Iran war per se. It's the combination: rising inflation + politicized Fed + rates being cut when they should be raised = loss of confidence in the dollar and Treasuries. This is the "stagflation light" scenario that nobody is really pricing.

9. Consensus vs Reality - The Alpha

****What the market is pricing:****

"The Iran war will resolve quickly" ? Talks are stalling on enriched uranium and Hormuz. Only 27% odds of a permanent deal by end of May.

"Inflation is under control" ? False. Top forecasters project 6% in Q2. Next week's PCE will surprise to the upside.

"The Fed will cut rates soon" ? Warsh is dovish, yes. But with inflation at 6%, even a politicized Fed

can't cut without triggering a confidence crisis.

"Stocks will keep climbing" ? 8 weeks of gains, VIX at 16.79, mega-IPOs incoming. Market top conditions are present.

"Gold is a safe haven in wartime" ? Gold is correcting despite the war. High real yields are killing the yellow metal.

"Oil will stay elevated" ? WTI already corrected from \$119 to \$96. If peace materializes, \$85-90 is possible.

The Alpha:

1. **Short gold / long copper** - Gold suffers from high real yields, copper benefits from China and AI.

Entry: sell gold below \$4,500, buy copper above \$6.30.

2. **Long USD/JPY on bounce** - Short USD/JPY toward 157.50 if BoJ verbally intervenes at 159+.

3. **Short the mega-IPOs** - SpaceX, OpenAI, Anthropic arriving at the worst time. Wait for listing then short.

4. **Long oil on correction** - WTI at \$96 after a \$119 shock is a buying opportunity. Long WTI \$92-94 zone, target \$105.

5. **Long BTC as hedge** - At 77K, BTC is resilient despite gold's correction. If the dollar weakens under Warsh dovish pressure, 85-90K is in play.

10. Merton's Take

We're living through a historically bizarre moment. The Fed has a new chair who is essentially the sitting president's hand-picked candidate, inflation is heading back to 6%, oil is at \$96 after a major geopolitical shock, and yet the S&P 500 notches 8 weeks of gains and VIX is at 16.79.

The real trade of next week will be the **PCE (Thursday)**. If PCE inflation surprises to the upside - and with oil at \$96, that's the most likely scenario - the market will have to recalibrate rate cut expectations. That could trigger a rapid stock correction. Warsh will then be in an impossible position: cut rates amid rising inflation (credibility crisis) or hold them.

My conviction: we're in the early stages of a regime shift. Bonds are no longer a reliable hedge, gold has temporarily lost its status, and the real hedges are BTC and industrial commodities. The dollar will be under structural medium-term pressure due to Fed politicization.

*Position:** Long BTC, long copper, short gold, cash on stocks awaiting PCE. VIX at 16.79 is a cheap opportunity to buy protection.

11. Sources Consulted

Yahoo Finance API (real-time prices)

FT RSS (home + markets)

Bloomberg RSS (markets + economics + politics)

CNBC (world, fed, oil, gold, markets, iran, india)

Oilprice.com

Polymarket API

Auto-generated at 14:52 CET*